

Fundamental Analysis: Quick Check List

1. Check the political situation. Is it safe? Are there problems? Could the government be overthrown and could there be difficulties as a consequence?
2. What is revealed by the economic indicators? Is the growth rate reasonable? Have exports improved? How comfortable is the balance of payments position?
3. Check the industry or industries in which the company operates. At what stage of the cycle is the company in? What is its competition? How easy is it to enter or exit the business?
4. Then check the company. The factors one should look at is its management and its annual report. The ratios should be analyzed and the cash flow checked.
5. Finally, before purchasing or selling a share, check its intrinsic value. A decision should only be taken after this is done.